SENATE BILL No. 146

DIGEST OF INTRODUCED BILL

Citations Affected: IC 8-1.

Synopsis: Electric utility affordability; TDSIC plans. Provides that affordability is the most important attribute of electric utility service that must be considered in decisions concerning Indiana's electric generation resource mix, energy infrastructure, and electric service ratemaking constructs. Provides the following with regard to a public electric or gas utility's transmission, distribution, and storage system improvement charge (TDSIC) plan: (1) The public utility's petition for Indiana utility regulatory commission (IURC) approval of the TDSIC plan must include an executive summary that provides specified information. (2) The public utility and the IURC shall publish the TDSIC plan, and each annual update to the TDSIC plan, on the public utility's and IURC's respective websites. (3) Provides that the public utility shall recover the deferred 20% of the public utility's approved capital expenditures and TDSIC costs under the TDSIC plan only upon the public utility's completion of the eligible transmission, distribution, and storage system improvements included in the TDSIC plan.

Effective: July 1, 2026.

Niemeyer, Dernulc

January 5, 2026, read first time and referred to Committee on Utilities.

Introduced

Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type.~~

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~*this style type*~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

SENATE BILL No. 146

A BILL FOR AN ACT to amend the Indiana Code concerning utilities.

Be it enacted by the General Assembly of the State of Indiana:

SECTION 1. IC 8-1-2-0.6, AS ADDED BY P.L.55-2023, SECTION 1, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 0.6. The general assembly declares that it is the continuing policy of the state that decisions concerning Indiana's electric generation resource mix, energy infrastructure, and electric service ratemaking constructs must consider each of the following attributes of electric utility service, **with affordability being the most important:**

(1) Reliability, including:

(A) the adequacy of electric utility service, including the ability of the electric system to supply the aggregate electrical demand and energy requirements of end use customers at all times, taking into account:

(i) scheduled; and

(ii) reasonably expected unscheduled;

outages of system elements; and

(B) the operating reliability of the electric system, including the ability of the electric system to withstand sudden disturbances such as electric short circuits or unanticipated loss of system components.

(2) Affordability, including ratemaking constructs that result in retail electric utility service that is affordable and competitive across residential, commercial, and industrial customer classes.

(3) Resiliency, including the ability of the electric system or its components to:

(A) adapt to changing conditions; and

(B) withstand and rapidly recover from disruptions or off-nominal events.

(4) Stability, including the ability of the electric system to:

(A) maintain a state of equilibrium during:

(i) normal and abnormal conditions; or

(ii) disturbances; and

(B) deliver a stable source of electricity, in which frequency and voltage are maintained within defined parameters, consistent with industry standards.

(5) Environmental sustainability, including:

(A) the impact of environmental regulations on the cost of providing electric utility service; and

(B) demand from consumers for environmentally sustainable sources of electric generation.

SECTION 2. IC 8-1-39-9, AS AMENDED BY P.L.89-2019, SECTION 3, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 9. (a) Subject to subsection ~~(d),~~ **(f),** a public utility that provides electric or gas utility service may file with the commission rate schedules establishing a TDSIC that will allow the periodic automatic adjustment of the public utility's basic rates and charges to provide for timely recovery of eighty percent (80%) of approved capital expenditures and TDSIC costs. The petition must:

(1) use the customer class revenue allocation factor based on firm load approved in the public utility's most recent retail base rate case order;

(2) include:

(A) the public utility's TDSIC plan for eligible transmission, distribution, and storage system improvements; and

(B) an executive summary of the public utility's TDSIC plan that provides:

(i) a summary description of the eligible transmission, distribution, and storage system improvements;

(ii) the proposed cost of the improvements; and

(iii) the public utility's justification for the improvements

and the cost of the improvements; and

(3) identify projected effects of the plan described in subdivision ~~(2)~~ **(2)(A)** on retail rates and charges.

(b) When a public utility files a petition under subsection (a):

(1) the public utility shall:

(A) provide a copy of the petition to the office of the utility consumer counselor; ~~when the petition is filed with the commission.~~ **and**

(B) publish the TDSIC plan conspicuously on the public utility's website; and

(2) the commission shall publish the TDSIC plan conspicuously on the commission's website.

~~(b)~~ **(c)** The public utility shall update the public utility's TDSIC plan under subsection ~~(a)(2)~~ **(a)(2)(A)** at least annually. An update may include a petition for approval of:

(1) a targeted economic development project under section 11 of this chapter; or

(2) transmission, distribution, and storage system improvements not described in the public utility's TDSIC plan most recently approved by the commission under section 10 of this chapter.

(d) When a public utility files an update under subsection (c):

(1) the public utility shall publish the update conspicuously on the public utility's website; and

(2) the commission shall publish the update conspicuously on the commission's website.

~~(c)~~ **(e)** A public utility that recovers capital expenditures and TDSIC costs under subsection (a) shall defer the remaining twenty percent (20%) of approved capital expenditures and TDSIC costs, including depreciation, allowance for funds used during construction, and post in service carrying costs. ~~and~~ **Upon the public utility's completion of the eligible transmission, distribution, and storage system improvements included in the TDSIC plan, the public utility** shall recover those capital expenditures and TDSIC costs as part of the next general rate case that the public utility files with the commission.

~~(d)~~ **(f)** Except as provided in section 15 of this chapter, a public utility may not file a petition under subsection (a) within nine (9) months after the date on which the commission issues an order changing the public utility's basic rates and charges with respect to the same type of utility service.

~~(e)~~ **(g)** A public utility that implements a TDSIC under this chapter shall, before the expiration of the public utility's approved TDSIC plan, petition the commission for review and approval of the public utility's basic rates and charges with respect to the same type of utility service.

~~(f)~~ **(h)** A public utility may file a petition under this section not more than one (1) time every six (6) months.

~~(g)~~ **(i)** Actual capital expenditures and TDSIC costs that exceed the approved capital expenditures and TDSIC costs require specific justification by the public utility and specific approval by the commission before being authorized for recovery in customer rates.

SECTION 3. IC 8-1-39-12, AS AMENDED BY P.L.89-2019, SECTION 6, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 12. (a) Not more than one hundred twenty (120) days after a public utility files a petition under section 9 of this chapter, the commission shall conduct a hearing and issue an order on the petition.

(b) Not more than sixty (60) days after a public utility files a petition under section 9 of this chapter, the office of the utility consumer counselor and other intervenors, if any, may:

(1) examine the information of the public utility to confirm that the proposed transmission, distribution, and storage system improvements comply with this chapter; and

(2) report its findings to the commission.

(c) If the commission determines that the petition satisfies the requirements of this chapter and the capital expenditures and TDSIC costs are reasonable, the commission shall approve the petition, including:

(1) capital expenditures;

(2) timely recovery of TDSIC costs, including costs associated with a targeted economic development project, through a TDSIC; and

(3) if requested, authority to defer TDSIC costs under section ~~9(c)~~ **9(e)** of this chapter.

(d) If the public utility has requested approval of new targeted economic development projects or new transmission, distribution, and storage system improvements under section ~~9(b)~~ **9(c)** of this chapter, the commission's order must include the following:

(1) A finding of the best estimate of the cost of the new projects or improvements.

(2) A determination whether public convenience and necessity require or will require the new projects or improvements.

(3) A determination whether the estimated costs of the new projects or improvements are justified by incremental benefits attributable to the new projects or improvements.

If the commission determines that the public utility's new projects or improvements are reasonable, the commission shall approve the new projects or improvements and authorize TDSIC treatment for the new projects or improvements.

SECTION 4. IC 8-1-39-14, AS AMENDED BY P.L.89-2019, SECTION 7, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 14. (a) The commission may not approve a TDSIC that would result in an average aggregate increase in a public utility's total retail revenues of more than two percent (2%) in a twelve (12) month period. For purposes of this subsection, a public utility's total retail revenues do not include TDSIC revenues associated with a targeted economic development project.

(b) If a public utility incurs TDSIC costs under the public utility's TDSIC plan that exceed the percentage increase in a TDSIC approved by the commission, the public utility shall defer recovery of the TDSIC costs as set forth in section ~~9(c)~~ **9(e)** of this chapter.

(c) For purposes of subsection (a), in the case of a public utility that terminates a TDSIC plan under section 10(d) of this chapter, the commission shall consider the combined twelve (12) month revenue impact of the TDSIC approved under the terminated plan and the TDSIC approved under any new TDSIC plan.

SECTION 5. IC 8-1-39-16, AS AMENDED BY P.L.89-2019, SECTION 8, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 16. (a) For purposes of this chapter, the following are not a general increase in basic rates and charges under IC 8-1-2-42(a):

(1) The filing of a TDSIC.
(2) A change in a TDSIC.
(3) The deferral of depreciation expenses, operation and maintenance expenses, property taxes, or post in service allowance for funds used during construction under section ~~9(c)~~ **9(e)** of this chapter.

(b) This chapter does not limit:

(1) a public utility's ability to recover eligible transmission, distribution, and storage system improvements in a general retail rate case; or
(2) the commission's valuation of utility property under IC 8-1-2-6.